

GOOSMANN ROSE COLVARD & CRAMER, P.A.

CLOSING INFORMATION AND GUIDELINES REGARDING THE PURCHASE OF RESIDENTIAL OR VACANT REAL PROPERTY

Although our Firm will conduct your closing and represent you in the purchase transaction pursuant to the terms of your particular contract or purchase agreement, the following is information that may be useful to you in understanding the process of our Firm and various aspects related to a residential real property purchase transaction.

WIRE FRAUD IN REAL ESTATE TRANSACTIONS IS REAL

Wire fraud can occur during a real estate transaction when a cybercriminal attempts, by impersonating you, your real estate agent, settlement agent or any other party in the transaction, to mislead (a) a buyer or seller into moving money into a fraudulent account or (b) a closing attorney/settlement agent into sending your proceeds from the sale into a fraudulent account. BE AWARE!

Certified or Wired Funds

Funds for your closing will need to be in the form of either: (i) wired funds or (ii) a certified or official check drawn on a North Carolina based bank. Please confirm with us, in advance of your closing date, any check that you may desire to present at closing prior to attempting to close with a check instead of wired funds. A personal check or official check drawn on an out of state bank will not be accepted.

A certified or official check drawn on a North Carolina based bank approved by our Firm should be payable to “Goosmann Rose Colvard & Cramer Trust Account,” provided the check has been approved. This requirement is necessary due to State Bar regulation on attorney trust accounts.

For your convenience, our Firm’s domestic Wiring Instructions are attached and included as a part of the Engagement Letter. Please note that, due to current federal regulations, the Firm cannot accept or send international wires. Other delivery arrangements must be made if you plan to use international funds.

Please also be aware of potential wire fraud issues, especially when communicating via unsecured emails. **BEFORE SENDING ANY WIRE TO ANYONE, PLEASE CALL US DIRECTLY TO VERIFY THE WIRING INSTRUCTIONS.** Contact us at a number that is previously known and/or independently obtained to ensure that your contact information is legitimate. DO NOT rely upon a phone number in the email, including emails from your real estate agent or anyone else.

IF YOU RECEIVE WIRING INSTRUCTIONS FOR A DIFFERENT BANK, BRANCH LOCATION, ACCOUNT NAME AND/OR ACCOUNT NUMBER, IT SHOULD BE PRESUMED AS FRAUDULENT. DO NOT SEND ANY FUNDS AND CONTACT OUR OFFICE IMMEDIATELY.

OUR FIRM DOES NOT ALTER OR CHANGE ITS WIRING INSTRUCTIONS

If you have any questions or concerns regarding wiring instructions, contact our office immediately and/or refer to this document.

Common Ownership of Property

There are essentially three forms of ownership of real property by multiple owners: (1) Tenants in Common, (2) Tenancy by the Entireties, and (3) Joint Tenants with Rights of Survivorship. While the following is a brief description of each form of common ownership, please feel free to contact us with any specific questions or for further information.

In common ownership as Tenants in Common, each party owns an undivided interest in the property regardless of the specific common ownership interest. The ownership will be presumed as equal portions to each owner if it is not specified otherwise at the time of taking title (for instance, in the event there are two owners, the presumption would be a $\frac{1}{2}$ undivided interest for each owner). Otherwise, specified ownership proportions can be established at the time of taking title (for instance, a 1% undivided interest for one owner and a 99% undivided interest in the other owner). Accordingly, if one tenant in common owner passes away, that owner's share (for instance, the $\frac{1}{2}$ undivided interest) will pass through to that deceased owner's estate. Similarly, a judgment against any tenant in common owner can attach as a lien against the property. If an irreconcilable dispute arises between the tenants in common owners as to the property, the owners can file for a partition, which is a legal remedy either to physically divide the property or petition the court to sell the property and divide the proceeds.

For common ownership as Tenancy by the Entireties, the common owners must be validly married to each other at the time they take title to and become vested with ownership of the property. The marriage relationship must be one recognized under North Carolina law. Tenancy by the Entireties creates creditor protection such that a judgment would have to be found and filed against both spouses to attach to as a lien against the property. It also affords a right of survivorship in each spouse which means that, in the event one spouse passes away, the owner spouse becomes immediately vested with the deceased owner's interest. In such an instance, the title and ownership automatically vests in the surviving spouse thereby preventing such interest from passing through to the deceased spouse's estate. There is no right to a partition in property held as Tenancy by the Entireties; however, in the event the owners should become legally divorced, upon the filing of that divorce, the ownership immediately converts to Tenants in Common ownership.

The form of ownership known as Joint Tenants with Rights of Survivorship, as the name implies, creates survivorship rights without the requirement that the owners be validly married, so again, if one owner were to pass away, that owner's interest would automatically vest in the surviving owner or owners. However, this form of ownership does not afford the creditor protection like Tenancy by the Entireties, so a judgment against one owner alone can attach as a lien against the property. This form of ownership is easily severable (for instance, by one owner's conveyance or mortgage of his/her/its interest or a filing for partition), in which case the common ownership becomes Tenants in Common. This form of ownership is specific in the language and actions that are required for its creation.

Title Insurance and Examination

In purchasing real property, you are purchasing the legal title to the property. While a title may be limited by rights or claims asserted by others which may threaten or limit your use and enjoyment of the property or bring economic loss, title insurance protects against the hazards and defects that potentially exist in the title you are purchasing. Unless otherwise instructed, we will obtain a title insurance policy from a reputable title insurance

company that will insure and protect your title against the insured defects, and the one-time premium for such insurance will be paid at the time of closing. The title insurance policy we will obtain will insure you both as to matters related to marketability and insurability of the title. It is not our customary or standard practice to provide copies of title insurance commitment or exceptions or other title documents prior to closing; however, if you so desire, we will be glad to explain any exceptions to your title insurance policy or matters of marketability or otherwise that may have been specifically insured over and to provide you with copies of any title documents requested. Please do not hesitate to contact us prior to closing if such review or explanation is preferred.

As noted above, we will perform a title examination or search of the public records to obtain a title insurance policy for you, including verifying ownership of the property and the right or ability of the seller to convey title to the property. The title examination will also reveal the exceptions that affect the title either beneficially or adversely. When title problems are discovered during the examination, they are corrected whenever possible or the title insurance policy we will provide you will afford coverage over such matters. There are two (2) types of title examinations or searches that we can perform as follows: (1) a title update search or (2) a full title search.

A title update search is a search of the public records for the property back to the date and time of issuance of a prior title insurance policy for the property, and it means that we do not search the public records pertaining to the subject property prior to the issuance of such policy. Therefore, we do not certify the status of the title prior to the date of such prior title insurance policy and we will not be able to detect any title matters prior to that date which may later give rise to a claim against your title such as defects, clouds on title, encumbrances and the like. Nonetheless, the title insurance company for the insurance policy we will obtain for you will provide you insurance against all claims that are not excepted from coverage under the title policy, even if such claims arise out of defects or encumbrances which occurred prior to the search period. You also receive a reissue rate or discounted premium on your title insurance premium if a title update search is performed from a prior title insurance policy.

The second option is a full search and consists of approximately a 30 to 50 year search of the public records pertaining to the property. There may be additional fees associated with such full title examination due to the increased amount of work required; however, the advantage of a full search over the title update search is that it gives you more certainty about the status of your title. Because the full search does not rely upon a prior title insurance policy, a disadvantage is that we may not be able to obtain a reissue or discounted title premium rate for you on your title insurance policy.

Because an updated title search is an accepted custom and practice for title examinations and normally creates a discounted insurance premium for your title insurance policy, we typically attempt to locate a prior title insurance policy which insures that a prior insured owner has marketable and insurable title to the property as of a certain date, and then review the public records from that date forward through your closing. If, however, you would prefer a full search be performed for your transaction, then please so advise us at least ten (10) business days prior to your expected closing date so we will have sufficient time to perform this service for you and can review the additional expenses that may be associated with such full search. Please understand that, with either an updated title search or a full title search, in the event there is a claim against your title and even if the title insurance company had provided you with full coverage and pays for your related attorney's fees and damages, you may still endure the stress of litigation and uncertainty regarding your ownership rights to your property.

Survey

It is usually in your best interest to obtain a current survey of the property because it can disclose matters that affect your property that cannot be found in a title examination or search. For instance and likely most importantly, a survey shows the location of the permanent or semi-permanent improvements that have been made

to the property such as the location of the house, garage(s), driveway(s), fence(s), well or other utility services on the property, and similarly will show if any improvements on the adjoining or neighboring properties affect or are located on the surveyed property. Common defects a survey may disclose can include encroachments (for example, a structure from neighboring land that may “encroach” onto your property), issues wherein a structure may be too close to the boundaries of the property in violation of a building setback ordinance or restriction, issues regarding acreage discrepancies (for instance, the total acreage is less or more than was disclosed in your contract) or the land itself (for instance, where the land in the seller’s deed is not the land you intend to buy). The local tax maps and aerial maps may offer some information as to the property, but please understand that such maps are considered inherently unreliable. Accordingly, we do not rely upon or review the tax maps or aerial photographs of property as part of our title examination and it is not typical to disclose any matters which would be revealed from such a review. A tax map or tax aerial is not a substitute for a survey performed in accordance with statutory standards by a licensed surveyor.

If you do not obtain a current survey of the property, your title insurance policy will not likely cover or insure you regarding any matters or defects that would be disclosed by a current survey. Therefore, a current survey allows us to get an enhanced title insurance policy for you as a part of closing. If you choose not to get a survey as an element of your purchase, we cannot be responsible for any matters or defects a survey would disclose.

As with any other Due Diligence inspection, you may order a survey directly from any surveyor, and if you do so then please let us know so that we can coordinate with such surveyor. As with any other Due Diligence inspection, our Firm is not in a position to and does not order or schedule surveys on behalf of clients; however, upon request we can provide referrals for several reputable surveyors from which you can order or request a survey.

Zoning and Environmental Matters

Please be aware that matters involving zoning, environmental or other governmental regulations are not included as part of the typical title search or in our customary scope of representation. Zoning laws, among other things, impose setback and use requirements for property. Environmental hazards may include, but are not limited to, the existence of radon gas, lead based paint, asbestos, above or below ground fuel storage tanks and environmentally regulated substances.

Property Condition and Utilities

We advise that you obtain all inspections and perform all research and tests for the property in a timely manner, including all home inspections, pest inspections, verification of housing certificates, permits or otherwise, and tests pertaining to the utilities for the property, including water, sewer and/or septic. Many problems at closing arise out of inspections which were not completed in a timely manner or repairs which have not been completed in a timely or workmanlike manner. Therefore, all inspections and repairs should be completed promptly so as to create reasonable expectations for all parties as to any negotiated repairs necessary for closing.

Homeowners/Hazard Insurance

We advise that you secure hazard/homeowners insurance as a part of your purchase of the property to protect your investment, if applicable, and please let us know who you are working with so that we can coordinate with such insurer. Because issuance of the policy can take time to obtain and is often required well in advance of closing by lenders, we also recommend that you coordinate for your insurance as quickly as possible so that it will not be a cause for delay in your closing.

Property Taxes

A contract typically provides that the buyer and seller shall prorate the property taxes at closing. If the property is an individual tax parcel and the taxes for the current year are not yet due and payable, and thus cannot be paid at closing, then the seller typically gives you as the buyer a credit for the taxes arising for the part of the tax year that the seller owned the property. The taxing authority may send the tax bill to the seller when the bills for the current year are generated. Nonetheless, please note that the responsibility for paying the taxes will remain with you as buyer and it is your responsibility to locate and pay that invoice prior to the end of the calendar year of closing. Additionally, the proration of taxes performed at closing is based upon the information available to our Firm at the time of closing. When the closing occurs prior to the tax bill being issued and due for the property, tax rates and even values may be established after closing which may alter the amount that was prorated at closing. In such event, it is the responsibility of you and the seller to connect following the issuance of a tax bill to verify the amount billed and adjust for any discrepancies in the proration performed at closing, if desired. The Firm can assist you in this regard if requested; however, there may be additional fees for this additional work performed in a tax proration following closing.

If the property is an individual tax parcel and taxes for the current year are due and payable, we pay the taxes for the current year at closing and you, as buyer, will be assessed for the portion of the taxes attributable for the period of time you will own the property for the year of closing. The following year the taxing authority should amend the tax records to reflect your ownership of the property and you will be responsible for paying all future bills during your ownership.

If you are buying a portion of a larger tax parcel, and thus is not an individual tax parcel, then there will likely not be a separate tax bill for the property; thus, there may be no proration of taxes at closing. In such an event, please understand that, should the seller fail to pay the taxes for such larger tax parcel, then the total tax statement on the seller's property could attach as a lien to the property being purchased. Such tax lien on your property could be substantial as it arises out of and relates to the seller's remaining and often larger tax parcel. This is an inherent risk associated with closing on the purchase of a portion of a larger tax parcel prior to a tax bill being separately rendered and payable for the property being purchased.

Individual Tax Consequences & Estate Planning

There are sometimes individual tax issues or consequences associated with real estate transactions. If you have concerns about taxes or tax consequences, then please consult an independent tax advisor. We are not certifying we have closed the transaction in a manner which will minimize taxes and expressly disclose that we will not be providing any tax advice as to your transaction. Additionally, we are not certifying we are closing the real property transaction in a manner consistent with your estate planning expectations and are not expressing any opinion regarding such planning options. Accordingly, if you have concerns about estate planning matters, please consult an estate planning attorney.

Attendance at Closing

We recommend all necessary parties attend closing in person if possible, and unless we are otherwise informed, we presume that all necessary parties will attend closing. In North Carolina, unless certain agreements are executed, reviewed and approved in advance of closing, a non-borrowing spouse must still sign the mortgage, called the Deed of Trust, even though the loan is in the name of the other spouse only as borrower. Therefore, unless other arrangements are made in advance, both spouses will be necessary parties to attend closing. Powers of attorney may assist the parties in resolving an attendance issue; however, such must be approved by any applicable lender, if applicable, and the title insurance company prior to closing. Further, additional charges for preparation and recordation apply when powers of attorney are required. Please contact the Firm as soon as possible if attendance of a party might be an issue.

Otherwise, the Firm can coordinate for an absentee or ‘mail-away’ closing for your purchase, which closing does not require your attendance. In such event, we will forward you an overnight package of the closing documents with specific instructions and guidelines for the proper signing and notarization of the purchase and financing documents. It will also include a prepaid envelope for your return of the package. We will do our best to get the closing package to you for your review and execution as early as possible, but if a loan is involved, it will depend upon when the mortgage loan package is received by our Firm for finalization. In the event that the loan package is delayed, it may mean that we will need a very prompt review and return of the documents, but again, will do our best to avoid any unnecessary rush or inconvenience to you and will keep you updated on that status as the closing date approaches. There are additional charges for preparation and coordination of an absentee or ‘mail-away’ closing. If your purchase does not involve financing, then the absentee or ‘mail-away’ closing can be coordinated with you through email and facsimile so as to avoid the additional expense of overnight packages. Please notify the Firm as soon as possible if you would prefer or require an absentee or ‘mail-away’ closing so as not to cause a delay in your closing.

Identification

Due to notary requirements and potentially to satisfy the requirements of your lender and the United States Patriot Act, it is imperative that all parties bring valid government issued identification. If not available, then please contact the closing attorney or paralegal regarding other satisfactory identification prior to closing.

Closing/Settlement Statement

The closing statement or settlement statement you will receive will be called a HUD-1 or ALTA Settlement Statement and/or the Closing Disclosure (applicable in most residential mortgage closings). The closing statement will specify how the money from the transaction will be disbursed, and all expenses and credits related thereto. Your lender will prepare any necessary Closing Disclosure and deliver that to you in advance of closing. We prepare and send a HUD-1 or ALTA closing statement to you as quickly as possible, but at least one day prior to closing. If you are financing the purchase with a loan, your lender will need to approve all the closing statements. We will prepare the closing statement and disburse the funds in the manner directed by your purchase contract and lender, if applicable. Ultimately, the decision on how to distribute the settlement funds lies with the seller, you as buyer and your lender, if applicable. We will not follow the instructions of any other party. If the parties disagree on how the funds should be disbursed, then we will attempt to mediate based upon our understanding of the contractual agreement; however, we may not be in an ethical position to advocate for either party independently. We will only disburse funds that are disclosed on the final closing statement.

Firm Contact and Absences in and/or Closures of the Firm

A specific paralegal of the Firm has been or will be designated to assist the attorney representing you on the purchase and shall serve as a direct point of contact and assistance for you in the event the attorney is unavailable. In the event of the absence of any paralegal or attorney of the Firm, the email, voicemail and client files of the absentee paralegal or attorney will be monitored, managed and responded to by another paralegal or attorney with the Firm, and whenever possible, you will be notified in advance of the absence. Also, in the event of any closure of the Firm, you will be notified of the closure in advance, if possible, and we will promptly contact you directly to reschedule any schedule appointment, if applicable.

Conclusion of Representation; File Retention and Destruction

Our representation will conclude upon our issuance of our final opinion on title as necessary to procure the lender's title insurance policy and your title insurance policy, as applicable. Since all legal work will have been completed for your closing at such time, we will close your file, remove it from our active accounts list and return all your original records to you. We suggest that you keep all information relating to the matter in a safe place where it can be easily located. Our closed files are scanned and maintained in electronic format, and after review and with attorney approval, the physical file may be destroyed, except for items of known intrinsic value or personal property. For purposes of destruction, we consider all file items to be confidential materials and handle the file destruction accordingly. We maintain and store physical files for a minimum period of seven (7) years from the conclusion of the representation. Because clients are provided copies of pertinent information and work product upon completion of the representation, a reasonable fee ranging from \$25 to \$50 may be charged for requests for reproduction or duplication copies of file materials.